ANTOLICE ENTERPRISES (PRIVATE) LIMITED

Versus

ECONET WIRELESS (PRIVATE) LIMITED

HIGH COURT OF ZIMBABWE
M DUBE J
BULAWAYO 23 OCTOBER 2024 & 02 JULY 2025

Opposed Application

Mr Garutsa representative of the plaintiff
Mr Mbuyisa for the defendant

DUBE J The plaintiff a company with limited liability issued summons against the defendant seeking an order in the following terms:

> (a)USD Airtime recharge cards that were paid for and never delivered with a value of USD $128 000.
> (b) Payment of interest at the prescribed rate.
> (c) Collection commission at the prescribed rate.
> (d) return of tittle deeds for house number 5614 Nketa 9 or upliftment of a suspension on account number 3800.

The plaintiff is represented by its alter ego, Mr Garutsa with leave having been granted under case no. HC 1395/23 per Mangota J. The defendant raised a plea in bar that the plaintiff's claim had prescribed as it was required to issue and serve the summons and declaration for its claim within a period of three (3) years of the debt becoming due and payable, it prayed for the dismissal of the plaintiff's claim with costs. The parties appeared before me for a determination of the matter.

Factual Background

The plaintiff's claim, as summarized from its declaration, arises from an agreement allegedly entered into on 28th January 2010, under which the defendant was to continuously supply the plaintiff with airtime recharge cards in exchange for cash. The gravamen of the plaintiff's complaint centres on three specific invoices, for which stocks were purportedly not

supplied despite payment. These invoices are detailed as follows: $45,000 dated 27th April 2011, $43,200 dated 6th June 2011, and $40,000 dated 24th May 2011. The total value of these

undelivered stocks is stated as $128,000. Beyond the delivery of stocks, the plaintiff also seeks the return of title deeds for stand number 5614 Nketa 9, held by the defendant as security for account number 3800, or the upliftment of the suspension on that account.

The defendant entered an appearance to defend on 17 February 2023 through its legal practitioners, Mtetwa & Nyambirai. The defendant subsequently filed a Plea in Bar to the effect that the plaintiff's claim had prescribed as the plaintiff did not issue and serve its summons and declaration within a period of three years to interrupt prescription in terms of section 15 (d) of the Prescription Act [*Chapter 8:11*] which would typically challenge the validity of the claim on a point of law.

The issue for determination therefore is whether or not the plaintiff's claim has prescribed.

Counsel for the defendant submitted that the special plea of prescription is raised on the basis that plaintiff's cause of action has prescribed as the claim was not made within a period of three years of the debt becoming due and payable. The plaintiff's submissions boarded on the fact that this was a reciprocal debt and therefore in terms of the prescription act, a reciprocal debt takes 30 years to prescribe by virtue of it being secured by a mortgage bond.

The Law on prescription

The primary legislation governing the prescription of debts in Zimbabwe is the Prescription Act [*Chapter 8:11*]. This Act applies generally to all debts or claims, including those arising from contract, delict, or statute, unless specific provisions in other statutes provide otherwise. The plaintiff's claim for delivery of goods, arising from an alleged agreement with the defendant, clearly falls within the broad definition of a "debt" as contemplated by Section 2 of the Act. Section 2 defines "debt" without limitation, to include "anything which may be sued for or claimed by reason of an obligation arising from statute, contract, delict or otherwise". This confirms that the contractual nature of the plaintiff's claim is subject to the provisions of the Prescription Act.

For contractual debts, Section 15(d) of the Prescription Act [*Chapter 8:11*] unequivocally stipulates that "a debt shall prescribe after a period of three years". This three-year period is peremptory, meaning it is mandatory and cannot be waived by the parties or extended by the court, even for good cause shown. This strict application underscores the legislative intent to enforce finality in legal disputes. The Supreme Court has consistently upheld this principle, affirming that the two-year prescriptive period for labour disputes, for instance, does not override the three-year period applicable to general contractual claims under the Prescription Act.

The running of prescription commences when the debt becomes due. A debt is generally considered due when the creditor has knowledge of the identity of the debtor and the facts from which the debt arises. This was enunciated in the case of *River Ranch Ltd v Delta Corporation Ltd* HH 1-10 wherein the learned Judge stated as follows:

> "As a rule, unless prescription is delayed or interrupted as envisaged in sections 17, 18 and 19 of the Act, and provided that the creditor is aware of the identity of the debtor and of the facts from which the debt arises, prescription commences to run as soon as the debt is due. In the present context, the seller's obligation to transfer and the purchaser's reciprocal right to claim transfer or specific performance arise from the date when performance is due, viz. as soon as the purchase price is paid. As of that moment, the debt becomes due and extinctive prescription begins to run against the purchaser."

In the present matter, the plaintiff's declaration explicitly states the dates on which the invoices for the undelivered stocks were allegedly taken: 27th April 2011, 24th May 2011, and 6th June 2011. It is from these dates that the debt for the undelivered stocks would be considered due, as the plaintiff would have had knowledge of the alleged non-delivery and the identity of the defendant at that time.

The Prescription Act provides specific mechanisms by which the running of prescription can be interrupted. One such mechanism is judicial interruption, as outlined in Section 19 of the Act. Section 19(2) states that the running of prescription is interrupted by the service on the debtor of any "process" whereby the creditor claims payment of the debt. The term "process"

is broadly defined in Section 19(1) to include a petition, a notice of motion, a rule nisi, or any other document by which legal proceedings are commenced.

However, a crucial qualification is found in Section 19(3) of the Act. This subsection stipulates that an interruption of prescription by service of process *lapses,* and the running of prescription is *not deemed to have been interrupted*, if the creditor does not successfully prosecute his claim under the process in question to final judgment. This provision is of paramount importance. It means that merely issuing or serving a summons or other legal process is insufficient to permanently interrupt prescription if that process does not culminate in a final judgment in favour of the creditor. If a prior action is dismissed for procedural reasons, withdrawn, or otherwise not pursued to finality, the interruption is retroactively nullified, and the prescriptive period is deemed to have continued running as if no process had been served. Consequently, any new action must be commenced within three years of the original cause of action date, unless a new, valid interruption occurs.

Another form of interruption occurs if the debtor acknowledges liability for the debt. If such an acknowledgment takes place, prescription commences to run afresh from the date of the acknowledgment or from a postponed due date, if applicable. For such an acknowledgment to be effective, it must typically be clear, unequivocal, and properly pleaded by the party relying on it.

Application of the law to the facts.

The undisputed facts establish that the plaintiff's cause of action arose in 2011, specifically on the 27th April, 24th May, and 6th June 2011, when the alleged undelivered stocks were invoiced. The current summons were only issued on 6th February 2023 and served on 8th February 2023. This means that a period of approximately eleven years and eight months has elapsed since the latest date on which the debt became due.

The plaintiff's claim for delivery of airtime recharge cards, arising from an agreement, unequivocally constitutes a 'debt' in terms of Section 2 of the Prescription Act. As established, the prescriptive period for such a contractual debt is three years, as per Section 15(d) of the

Act. The time elapsed in this case, being nearly twelve years, is significantly beyond the statutory three-year period. This substantial discrepancy between the statutory period and the actual period elapsed strongly indicates that the claim is prima facie prescribed.

The burden thus shifts squarely to the plaintiff to demonstrate that the running of prescription was validly interrupted or delayed in accordance with the strict provisions of the Prescription Act. The plaintiff's declaration vaguely asserts that it "has for years tried to recover the stocks to no avail via the courts and police and even through out of court settlements". While this statement suggests attempts to recover the debt, it lacks the specificity required to establish a legal interruption of prescription.

For a judicial interruption to be effective, Section 19(3) of the Prescription Act demands that the creditor "successfully prosecute his claim under the process in question to final judgment". It was submitted by counsel for the defendant that in 2015 the plaintiff instituted a counterclaim under HC 6958/15 for the payment of the sum of US$128 000.00. The claim was later withdrawn by the plaintiff on 26 January 2023. If prior court actions were initiated but not pursued to final judgment, or if they were dismissed for procedural or other reasons, the interruption would lapse, and prescription would not be deemed to have been interrupted. The effect of such a lapse is that the prescriptive period is considered to have run continuously from the original date the debt became due. The defendant was correct therefore in its submissions that the proceedings in HC 6958/15 did not interrupt the running of prescription as they were not prosecuted to finality.

There is no indication from the available material that the defendant ever acknowledged liability for the debt in a manner that would trigger a fresh prescriptive period under Section 19(4) of the Act. Similarly, there are no facts presented that would suggest any of the specific circumstances for a delay in the completion of prescription, as enumerated in Section 6 of the Act, are applicable to the plaintiff. These grounds are typically related to personal incapacities or superior force, none of which have been pleaded or demonstrated.

A crucial procedural aspect is that for any defense of interruption or delay to be considered, it must be properly pleaded by the party relying on it. The plaintiff's declaration, as the only pleading available to the court from the plaintiff, contains only a general statement about prior attempts. This general assertion does not constitute a proper pleading of a specific, legally recognized interruption or delay, complete with necessary details to allow the defendant to respond or for the court to assess its validity.

The plaintiff's core submission is rooted in the assertion that a binding agreement existed between the parties, establishing clear mutual obligations. The plaintiff contends that it fulfilled its part of this contractual bargain, primarily through the payment for the goods. However, the plaintiff alleges that the defendant failed to reciprocate by delivering the promised goods, thereby constituting a fundamental breach of the contract.

In the present matter the plaintiff cannot rely on the principle of reciprocity as his claim is not based on contract but rather on an erroneous billing as pleaded in the summons. For that reason, section 17 (2) of the prescription act does not apply.

In light of the foregoing, the substantial period of nearly twelve years that has elapsed since the cause of action arose, coupled with the plaintiff's failure to demonstrate any valid and legally recognized interruption or delay of prescription, leads to the undeniable conclusion that the plaintiff's claim has prescribed. The peremptory nature of the three-year prescriptive period, as enshrined in the Prescription Act, dictates that once this period has run, the debt is extinguished, and the creditor loses the legal right to enforce the claim.

Having carefully considered the facts as presented in the plaintiff's summons and declaration, and having applied the relevant provisions of the Prescription Act [*Chapter 8:11*] and established legal principles, I am of the view that the defendant's special plea of prescription is well-founded.

The plaintiff's claim, being a contractual debt, became due in 2011. The summons initiating the present action was only issued and served in 2023, well beyond the three-year prescriptive period mandated by Section 15(d) of the Prescription Act. The plaintiff has not adduced

sufficient evidence, nor has it properly pleaded, any legally recognized interruption or delay of prescription that would negate the effect of the effluxion of time. The general assertions regarding prior attempts to recover the debt do not meet the stringent requirements of Section 19 of the Act, particularly the necessity for successful prosecution of a claim to final judgment.

Accordingly, the debt claimed by the plaintiff against the defendant has been extinguished by prescription.

It is therefore ordered that:

1. The defendant's special plea of prescription be and is hereby upheld.
2. The plaintiff's claim be and is hereby dismissed.
3. The plaintiff shall pay the defendant's costs of suit.

Mtetwa and Nyambirai Legal Practitioners, defendant's legal practitioners